- **Amount of raw materials used per production cycle.** Entrepreneurs prefer using raw materials that give or yield more output than the inputs used.
- **Reliability/experience of the supplier of raw materials.** Entrepreneurs prefer raw materials from dependable source(s) or from experienced supplier.

Documents used in purchasing/purchasing process

- **Letter of inquiry/an inquiry note.** This is a document sent to the seller or supplier by the buyer requesting for information on goods or services available for sale.

BLESSED ENTERPRISES LTD

BEL

P.O. BOX 200,
TORORO.
TEL: 0772200200

LETTER OF INQUIRY

DATE: .....

No: 002

TO: .....

Dear sir/madam,

Please quote us your price, terms of payment and delivery for the following items;

Details	Quantity

Please note that the items are urgently needed.

Prepared by: Signature.....
Name.....
Title: .....

➢ **Quotation.** This is a document sent by a seller/ supplier to the buyer as a response/repl to an inquiry giving details of goods/services offered for sale.

BB

BLESSED BAKERY

P.O. BOX 100,

TORORO.

TEL: 0772100100

QUOTATION

DATE: .....

Quotation No: 001

Inquiry No.: 1460

TO: .....

Dear sir/madam

In response to your inquiry letter dated ..... ,we are happy to send you the following particulars.

Item No	Quantity	Details	Rate (Shs)	Amount(Shs)
TOTAL				

- Terms of sale e.g. cash
- Terms of delivery; items to be picked by a buyer
- Packaging; separate.
- Discounts offered if any

Prepared by: Signature;.....

Name:.....

Title: .....

- **Purchase order form/note.** This is a document sent to the seller by the buyer requesting to be supplied with specified goods/items/services.

BLESSED ENTERPRISES LTD

BEL

P.O. BOX 200,
TORORO.
TEL: 0772200200

PURCHASE ORDER

DATE: .....

Purchas order No: 1420

Quotation reference No. 100

TO: .....

Please supply the following;

Details	Quantity	Details	Rate(Shs)	Amount(Shs)

Delivery date.....

Delivery venue.....

Packaging .....

Prepared by: Signature

_____Name:.....

Title: .....

Authorized by:Signature:

Name: _____

Title _____

- **Delivery note.** This is a document sent to a buyer/customer giving the details of goods/supplies delivered.

BLESSED BAKERY

BB

P.O. BOX 100,
TORORO.
TEL: 0772100100

DELIVERY NOTE

DATE: .....

Delivery note No: 003

Purchase order No. 140

Name and address of the customer: .....

Item No	Quantity	Details	Rate(Shs)	Amount(Shs)

Conditions/ state of goods delivered; _____

All goods are received in good conditions

Prepared by ; Signature;.....

Name:.....

Title: .....

Delivered by: Signature: _____

Name: _____

Title: _____

Received by: Signature _____

Name: _____

Title: _____

- **An invoice.** This is a document that shows the amount due for goods/services supplied on credit. It shows details of goods sold on credit.

BB

BLESSED BAKERY

P.O. BOX 100,

TORORO.

TEL: 0772100100

INVOICE

DATE: .....

INVOICE No: 004

Order No_: 160

TO ;_____

Details	Quantity	Rate(shs)	Amount(shs)
E &O E	TOTAL		

Accounts are due on demand.

Terms of delivery .....

Terms of payment eg discounts, credit period etc.

Prepared by: Signature;.....
Name:.....
Title: .....

Received by: Signature:.....
Name: .....
Title: .....

- **Payment voucher/cash payment voucher.** This is a document used by the business to authorise payments.

BLESSED BAKERY

BB

P.O. BOX 100,
TORORO
TEL: 0772100100

PAYMENT VOUCHER

DATE: .....

No: 091

TO: .....

Item No	Quantity	Details	Rate(Shs)	Amount(Shs)
TOTAL				

Amount in words.....

Prepared by : Signature;.....
Name:.....
Title: .....

Paid by:
Signature: _____
Name: _____
Title: _____

Authorised by Signature_____
Name_____
Title_____

Received by Signature_____
Name _____
Title_____

- **Receipt/cash receipt.** This is a document used for acknowledging receipt of payments.

BLESSED BAKERY

BB

P.O BOX 100,
TORORO
TEL: 0772100100

RECEIPT

DATE: .....

No: 473

Received with thanks from .....
Sum of .....shillings
Being payment of .....
Cash/ Cheque No.
.....Balance: .....

Shs. [ ]

Signature: .....

Blessed Bakery

Goods once sold are not returnable.

- **Debit note.** This document for correcting an undercharge in the invoice.
- **Credit note.** This document for correcting an overcharge in the invoice.
- **Goods returned note.** This is a document that shows details of the goods returned by the buyer(s).
- **Goods received note.** This a document that shows details of goods received by the buyer (s).
- **Credit status inquiry.** This a document used for requesting for information on credit worthiness of the customer(s) seeking credit facilities.
- **Cash sale slip.** This is a document used for acknowledging receipt of payments for goods sold on cash basis. It is only used for cash transactions.
- **Package sheet.** This document shows the details of the goods enclosed in sealed boxes or containers.
- **Dispatch/advice note.** This document is used to notify the buyer to be ready to receive the goods to be delivered.

Inventory control/management

Inventory control is a system that ensures that right quantity and quality of inventory/stock required is supplied at the required time with the minimum amount of capital investment.

Inventory management refers to the activities aimed at ensuring that the right quantity and quality of stock required is supplied at the required time

Inventory refers to the stock of goods held in the business at a given period of time.